

Business Law

Lecture 4

Contract Law II

Possibilities of contract termination I

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Lecture 4
Contract Law II

AGENDA

RESCISSION

REVOCATION

Rescission – Overview

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- Principle:
 - Contracts are valid and binding „pacta sunt servanda“
 - Flaws in the underlying declaration of intent?
 - Issuer needs protection in certain cases
- Rescission is aimed at eradicating the declaration of intent
- Specific reasons are required for rescission: ground for rescission
 - Certain forms of error, deceit and duress (§§ 119, 120, 123 BGB)
 - Limitation also protects other part and principle of binding contracts
- Right to rescission, not a claim

Rescission – Structure for solving cases

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1. Ground for rescission (and causality for issued DoI)



2. Declaration of rescission, § 143 I BGB



3. Time limit for rescission, § 121 I / § 124 I BGB



4. No exclusion, esp. § 144 I BGB

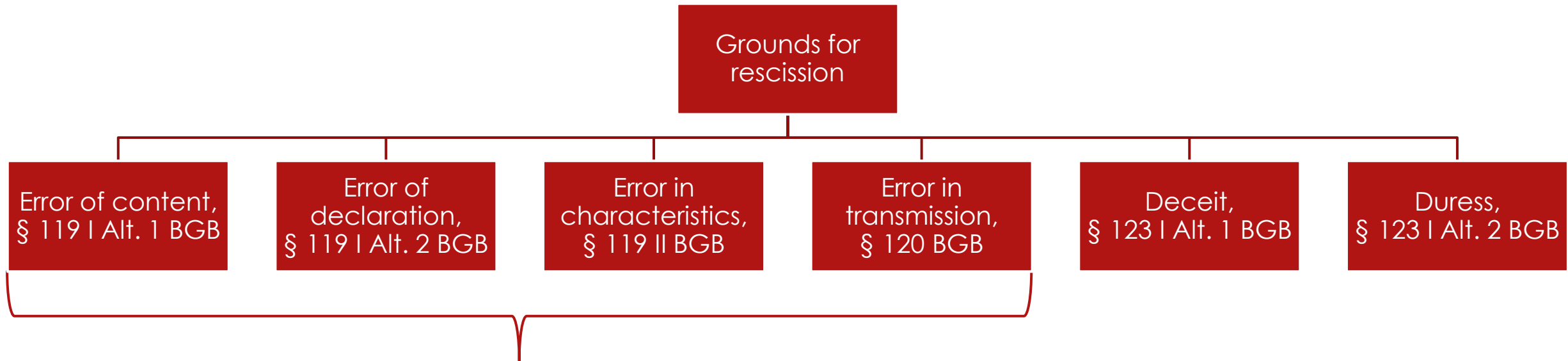


5. Effects, § 142 I BGB

Rescission – Requirements

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1. Grounds for rescission and causality for issued DoI



Error is the unconscious divergence between what is objectively explained and what is subjectively desired.

Rescission – Requirements

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§ 119 I 1. alt BGB	§ 119 I 2. alt. BGB	§ 119 II BGB
Error of content	Error of declaration	Error in characteristics
Person making the declaration explains what is intended but is mistaken about its meaning (e.g. technical terms used by laypersons)	Person making the declaration uses a different explanatory sign than what he intended to use	Person making the declaration is mistaken about a certain characteristic (attribute) essential to the transaction of a person or thing
“dozen” equates to 12. If one believes that dozen means 6 when placing an order, but it really means 12, an error of content is given	Cases of writing sth. wrong, stating sth. wrong or grabbing sth. else than intended. Example: typing 1000 instead of 100 pens	Buyer believes that a plot of land is designated building land although it's not Examples of characteristics of an item: size, material, origin, year of manufacture/construction; <u>not</u> : <u>price</u>

Rescission – Requirements

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§ 123 I 1. alt. BGB	§ 123 I 2. alt. BGB
Influence of deceit	Influence of duress
Deception: the intentional creation or maintenance of an error about internal or external facts, i.e. about such circumstances that are accessible to proof	Duress: prospect of a future evil, which the threatening person claims to be able to influence
Fraudulent intent: (conditional) intent to deceive	Unlawful: if the threatened evil, the desired success or the relationship between the two

- Distinction to § 119 BGB:
 - Irrelevance of type of error
 - Error must only be based on duress/deception
 - Double causality requirement
 - Positive action: presenting false facts
 - Omission: duties to inform (difficult in detail)

Bluffs? White lies?
„I have a better offer
from your competitor!“

Rescission – Requirements

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2. Declaration of rescission, § 143 I BGB

- Declaration of rescission
= Declaration of intent
- Given towards the right addressee
= Generally: Contracting partner, § 143 II BGB
- No specific form or wording required
 - Broad interpretation of layperson's declaration
 - No legal language needed



§§ 133, 157 BGB



„I don't want to have anything to do with this contract anymore!“

3. Time limit for rescission

- Calculated from the point in time the person entitled to rescind has become aware of the ground for rescission
- §§ 119, 120 BGB: no undue delay ($\approx$ immediately); § 121 BGB
- § 123 BGB: within a year, § 124 I BGB
- Maximum: 10 years

4. No exclusion

- Confirmation of the voidable legal transaction, § 144 BGB

5. Effects of rescission, § 142 I BGB

- Aim to eradicate the Dol
- Effect ex tunc = “from the start”
⇔ Effect ex nunc = “from now on”
- Void Dol can't form basis of contract



Rescission – Effects

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- Opponent of the rescission may claim damages, § 122 BGB
 - Trust in validity of contract
 - Therefore not in cases of § 123 BGB
 - No responsibility/fault of person entitled to rescission required
 - Negative interest of the opponent:
 - The injured party must be placed in the position he would be in if he had not placed trust in the validity of the declaration, i.e. if he had never heard of the transaction.
 - Security mechanism
 - Damage claim specific to rescission only!

Rescission – Case

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Entrepreneur B is extremely wealthy after selling his first business. He loves paintings by Pablo Picasso. His business acquaintance V owns a painting attributed to Picasso and wants to sell it. They agree on a price of 65.000€.

After a few weeks, B befriends A – a real art enthusiast – and shows him his purchase. A immediately notices that the painting is actually made by one of Picasso's students. Neither B nor V could have possibly known this. Under these circumstances B doesn't want to be bound by the purchase agreement.

Can B rescind the (Dol underlying the) purchase contract?

Can B rescind (Dol underlying the) the purchase contract?

- Ground for rescission?
 - § 123 I 1. alt. BGB?
 - V didn't know that it was painted by Picasso's student
 - § 119 II BGB
 - Error about essential characteristics?
 - Painter of a piece of art = main characteristic composing its value
- Declaration of rescission
- Purchase agreement will be null and void
- (Restitution acc. to § 812 et seq. BGB)

Rescission – Questions?

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- Right to alter the contract
- Applicable to reciprocal contracts
- Contractual agreement for possible revocation (risk limitation)
- Statutory rules, e.g. § 437 Nr. 2 BGB

(§ 437 Nr. 2 BGB; §§ 634 Nr. 3, 636 BGB)



Requirements: §§ 323 – 326 BGB



Consequences: §§ 346 – 348 BGB

Revocation – Requirements

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- Three possible grounds for revocation

Legal basis	Reason for revocation
§ 323 I	Breach of duty to perform (§ 241 I BGB)
§ 324	Breach of a duty under § 241 II BGB
§ 326 V	Duty of performance is excluded

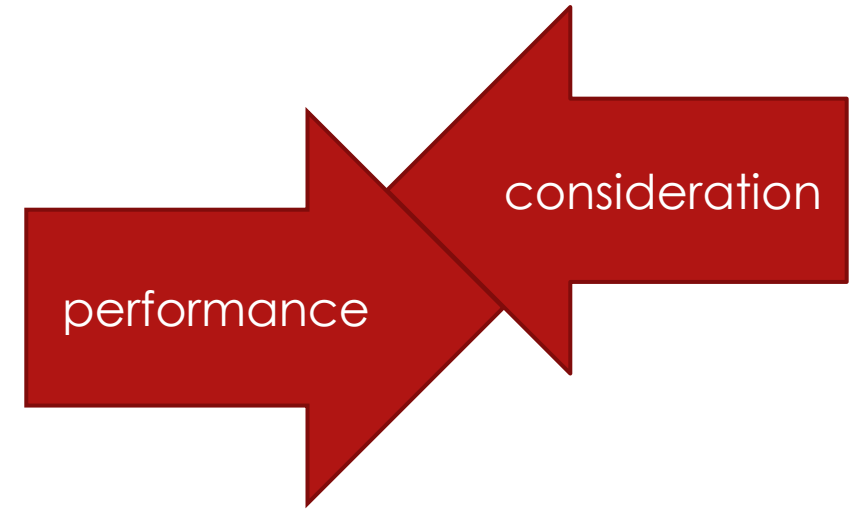
§ 323 BGB

Revocation for nonperformance or for performance not in conformity with the contract

(1) If, in the case of a **reciprocal contract**, the debtor does **not render an act of performance** which is **due**, or **does not render it in conformity with the contract**, then the creditor may **revoke the contract**, if he has specified, without result, an **additional period** for performance or cure.

Revocation under § 323 BGB

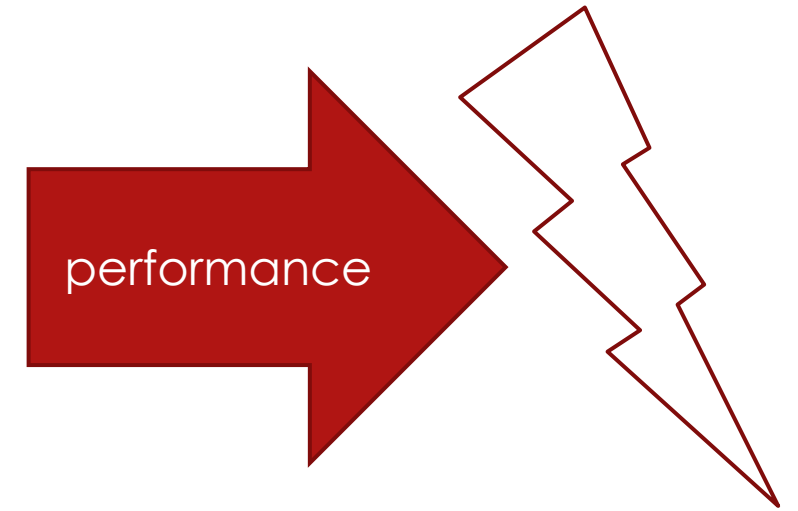
- Reciprocal contract
 - Purchase agreement, § 433 et seq. BGB
 - Works contract, § 631 et seq. BGB
 - Performance and consideration = „I give, you give“
- Due and enforceable obligation to perform
 - Exception: § 323 IV BGB, obvious that requirements will be met
 - Debtor isn't possibly able to perform properly



Revocation – Requirements

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- Breach of duty of performance
 - Failure to perform, § 323 I 1. alt. BGB
 - Improper performance, § 323 I 2. alt. BGB
- Additional period for performance (or cure)
 - „second chance“
 - Exception: § 323 II Nr. 1 – 3 BGB
 - Serious and definitive refusal of performance
 - Fixed date transaction; see also § 376 HGB
 - Special circumstances



§ 323 BGB

Revocation for nonperformance or for performance not in conformity with the contract

(2) The specification of a period of time **can be dispensed** with if

1. the debtor seriously and **definitively refuses performance**,
2. the debtor does not render performance by a **date specified** in the contract or within a **period specified** in the contract, in spite of the fact that, according to a notice given by the creditor to the debtor prior to conclusion of the contract or based on other circumstances attending at the time of its conclusion, the performance as per the date specified or within the period specified is of **essential importance** to the creditor, or
3. in the case of work not having been carried out in accordance with the contract, **special circumstances** exist which, when the interests of both parties are weighed, justify immediate revocation.

Revocation – Requirements

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Entrepreneur B is looking for a machine capable of producing phone cases for the newest flagship smartphone. V – also an entrepreneur – offers him the appropriate machine for 10.000€. They conclude a purchase agreement where B's payment is due on 1st of December and the machine is delivered to him immediately after contract conclusion.

The payment due date passed and V is very upset as he did not receive any money.

Does V have a right to revoke the contract?

Does V have a right to revoke the contract?

- § 323 I BGB is applicable:
 - Reciprocal contract: purchase agreement
 - Due performance of B: payment due date passed
 - Non-performance: B did not pay
 - Additional period for performance?
 - Not necessary: § 323 II Nr. 2 BGB, § 376 I HGB (commercial purchase agreement between entrepreneurs)
 - Concrete date for performance was specified
- V can revoke the contract acc. to § 323 I BGB

§ 324 BGB

Revocation for breach of a duty under § 241 II

If the obligor, in the case of a reciprocal contract, breaches a duty under § 241 II, the obligee may revoke the contract if he can no longer reasonably be expected to uphold the contract.

Revocation – Requirements

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Revocation under § 324 BGB

- Reciprocal contract
- Breach of duty under § 241 II BGB (ancillary duties), e.g.
 - Damaging the belongings of the creditor when performing the contract
 - Insulting or injuring of creditor by debtor
- Upholding can not be reasonably expected
 - Weighing of interests
- Causal relationship from breach to intolerability



§ 326 BGB

Release from consideration and revocation where the duty of performance is excluded

(5) If, under § 275 (1) to (3), the debtor **does not have to perform**, the **creditor may revoke**; § 323 applies with the necessary modifications to the revocation, subject to the provision that it is not necessary to specify a period of time.

Revocation – Exercising the right

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Reason for revocation: § 323 – 326 BGB



Declaration of revocation acc. to § 349 BGB



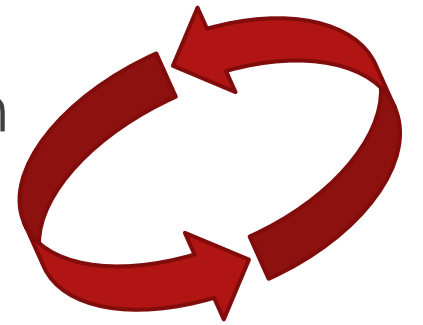
Effects: §§ 346 – 348 BGB

§ 346 BGB

Effects of revocation

(1) If one party to a contract has contractually reserved the right to revoke or if he has a statutory right of revocation, then, in the case of revocation, performance received and emoluments taken are to be returned.

- Obligations from original contract are transformed, new obligations arise:
 - Seller is obliged to pay back purchase price
 - Buyer must return purchased goods and emoluments taken
 - Every party bears the cost of returning what it received
 - Restitution must be performed concurrently, § 348 BGB
 - If restitution or return is impossible, compensation must be provided, § 346 II BGB
- Combination of revocation with damages is possible, § 325 BGB
 - Double compensation must not occur



Revocation – Questions?

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What are the requirements for effective rescission?

What are the requirements for effective revocation from a contract?

What are the differences between the consequences of revocation and rescission?